Quillwood Credit Partners
Origination and credit | Internal working paper

Tranquil Aged Care Investment Committee Paper

A$95.0M senior secured term loan to Tranquil Aged Care Pty Ltd

Prepared for the Quillwood Credit Partners Investment Committee

Prepared by Quillwood Credit Partners, Healthcare Credit

Date: 21 May 2025

Version 1.0, for decision

Reference: QCP-IC-2025-0521-TAC

Date: 21 May 2025

Synthetic - for demonstration. All names, entities and figures are fictional.
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Borrower	Tranquil Aged Care Pty Ltd
ABN	71 956 336 974
Registered address	Level 9, 440 Bourke Street, Melbourne VIC 3000
Sponsor	Coolwater Capital Pty Ltd (manager of Coolwater Capital Healthcare Fund II)
Sector	Healthcare, residential aged care (owner-operator)
Security	Nine freehold aged care homes in Victoria, 1,040 operational beds
Facility	A$95.0M senior secured term loan, 36 months
Date of paper	21 May 2025
Version	1.0
Prepared by	Quillwood Credit Partners
Prepared for	Investment Committee

Transaction details

1. Executive summary

Quillwood Credit Partners (Quillwood) has received a request from Tranquil Aged Care Pty Ltd (Tranquil or the Borrower) for a A$95.0M senior secured term loan with a 36 month tenor. The proceeds will refinance existing bank debt of A$78.5M, fund the remaining A$9.5M stage two portfolio refurbishment and room reconfiguration program, and meet transaction costs, an interest reserve and working capital totalling A$7.0M. The facility would be secured by first ranking mortgages over all nine homes and a general security agreement over all assets of the Borrower.

Tranquil owns and operates nine approved residential aged care homes across metropolitan Melbourne, Geelong and regional Victoria, with 1,040 operational beds. Occupancy was 91.0% at the last reporting date, equal to about 946 occupied beds. For the twelve months to December 2024 (LTM Dec 2024), the group reported revenue of A$108.4M and EBITDA of A$16.5M, a margin of 15.2%. Coolwater Capital Pty Ltd, as manager of Coolwater Capital Healthcare Fund II, has held a 72% controlling interest since April 2019, with management holding the balance.

The credit has three features that drive our view. First, the operating platform is established and compliant: the group reports meeting the 215 minute per resident per day care minute target, including the registered nurse component, and the homes are held freehold. Second, pro forma leverage is high for the sector at 5.4x net debt to EBITDA, and interest cover is thin at 1.9x, so the credit has limited tolerance for a combined occupancy and funding shock. Third, the Borrower carries refundable accommodation deposits (RADs) of about A$118.0M, which are repayable on resident departure. Liquidity management of that liability, rather than the headline loan to value ratio of 60.1%, is the central credit question.

Item	Detail
Facility limit	A$95.0M
Tenor	36 months
Indicative margin	3 month BBSW plus 5.25% per annum
Establishment fee	1.75% (A$1.66M)
Line fee	1.00% per annum on undrawn commitments
Exit fee	1.00% if repaid within 12 months
As-is market value	A$158.0M (Harcourt Dunmore, 14 March 2025)
Loan to value ratio	60.1%
Net debt to EBITDA	5.4x
Interest cover	1.9x

Summary of proposed terms and headline metrics

2. Recommendation

The analyst recommends that the Investment Committee approve a senior secured term loan of up to A$95.0M to Tranquil Aged Care Pty Ltd on the terms set out in this paper, subject to the conditions precedent and subsequent in section 9 and the covenant package in section 8.

The recommendation rests on the following points:

- Pricing of 3 month BBSW plus 5.25% per annum, together with fees, delivers an indicative all-in return of about 9.7% per annum over the full term before any exit fee, which we consider appropriate for the leverage and sector risk.
- The headline loan to value ratio of 60.1% and a portfolio of freehold, operating homes give a reasonable asset backstop, although we note that the RAD liability sits alongside our debt (see section 5).
- The sponsor has owned the business for six years, has funded stage one of the refurbishment program, and has an incentive to complete stage two and improve earnings before a refinance or exit.
- The covenant package, distribution lock-up, cash sweep and RAD liquidity reporting are designed to give early warning and to keep cash within the group while leverage is above 5.0x.

The Committee should be clear about the principal weaknesses. Interest cover of 1.9x leaves limited buffer, a fall in occupancy of about 3.7 percentage points would take cover to the proposed step-up covenant level of 1.60x, and repayment at maturity depends on a refinance. We propose an internal risk grade of 6 on the Quillwood ten point scale (single B equivalent), with a negative bias until the stage two refurbishment is complete and net leverage is below 5.0x.

3. The transaction

3.1 Purpose and sources and uses

The Borrower has an existing bank facility of A$78.5M. The bank has not indicated an intention to extend on current terms, and the sponsor is seeking a single facility that also funds the remaining capital program. The Borrower's financial adviser, Beaumaris Corporate Advisory Pty Ltd, issued the information memorandum on 10 February 2025 and Quillwood received the term sheet from the Borrower on 2 May 2025.

Item	A$M	% of total
Senior term loan	95.0	100.0%
Total sources	95.0	100.0%
Refinance existing bank debt	78.5	82.6%
Stage two refurbishment and room reconfiguration	9.5	10.0%
Transaction costs, interest reserve and working capital	7.0	7.4%
Total uses	95.0	100.0%

Sources and uses of funds

The establishment fee of 1.75% equates to A$1.66M and sits within the A$7.0M allowance for costs, interest reserve and working capital. The balance of about A$5.34M is available for legal and advisory costs, an interest reserve and general working capital. The final funds flow will be a condition precedent. Pro forma cash of A$6.0M reflects the working capital and reserve component remaining at close.

3.2 Facility terms

Term	Proposed
Facility type	Senior secured term loan
Limit	A$95.0M
Tenor	36 months from financial close
Drawdown	Refinance tranche at close; A$9.5M capital tranche drawn progressively against QS certified progress claims
Interest	3 month BBSW plus 5.25% per annum, paid quarterly
Establishment fee	1.75% of the limit
Line fee	1.00% per annum on undrawn commitments
Exit fee	1.00% of the amount repaid if repaid within 12 months
Amortisation	None scheduled; 50% excess cash flow sweep after month 12 while net leverage exceeds 5.0x
Hedging	Minimum 50% of drawn debt hedged for at least 24 months
Security	First ranking mortgages over all nine homes; general security over all assets

Indicative facility terms (term sheet dated 2 May 2025, as amended by Quillwood)

The cash sweep, the minimum hedging requirement and the distribution lock-up are Quillwood amendments to the Borrower's proposal. The Borrower proposed only partial hedging and no sweep. Management has indicated in discussions that the sweep is acceptable in principle, but this is not yet documented.

3.3 Pricing and return

For analysis we have assumed a 3 month BBSW of 3.85%, giving a cash interest rate of 9.10% per annum and annual interest on a fully drawn facility of about A$8.65M. Spreading the 1.75% establishment fee over three years adds about 0.58% per annum, giving an indicative all-in yield of about 9.7% per annum. The line fee applies only while the A$9.5M capital tranche is undrawn and is therefore modest, at most about A$0.10M per annum. The exit fee of 1.00% would add A$0.95M on a full repayment of A$95.0M within the first 12 months. These figures are indicative and move with BBSW.

3.4 Repayment and exit

The facility is bullet repayment at month 36, with a partial reduction through the cash sweep. Exit is dependent on refinance, and the analyst has tested what the Borrower would need to demonstrate. A refinance with a major bank at a net leverage of 4.5x on the opening net debt of A$89.0M would require EBITDA of about A$19.8M, an increase of about 20% on LTM Dec 2024. Stage two of the refurbishment, a recovery in occupancy towards the sector's upper range and the cash sweep all contribute, but the outcome is not assured. A secondary exit is the sale of one or more homes, supported by the valuation of A$158.0M, or a sale of the group. A sale of the group would also be consistent with the sponsor's fund life, as Coolwater Capital Healthcare Fund II has now held the business for six years.

4. Borrower and sponsor

4.1 Business overview

Tranquil Aged Care Pty Ltd (ABN 71 956 336 974) owns and operates nine approved residential aged care homes across metropolitan Melbourne, Geelong and regional Victoria. The homes are held freehold and operated under Commonwealth approved provider status. The group has 1,040 operational beds, occupancy of 91.0% (about 946 occupied beds) and about 1,420 FTE staff.

Revenue comprises Commonwealth subsidies under the Australian National Aged Care Classification (AN-ACC) funding model and supplements, resident means-tested fees, and accommodation payments. The accommodation payments are refundable accommodation deposits, daily accommodation payments and accommodation contributions. On LTM Dec 2024 revenue of A$108.4M and 946 occupied beds, average revenue is about A$114,600 per occupied

bed per annum, or about A$314 per occupied bed per day. EBITDA per occupied bed is about A$17,400 per annum.

The group reports compliance with the 215 minute per resident per day care minute target, including the registered nurse component. Agency labour is about 4.2% of staff costs, which is a modest level, though it remains a cost and quality sensitivity as wage pressure continues.

4.2 History

Date	Event
1 July 2009	Established by founding shareholders; first 84 bed home opened in Bendigo, VIC
30 November 2015	Acquired a three home portfolio in Melbourne's south-east, lifting capacity to 470 beds
15 April 2019	Coolwater Capital acquired a 72% controlling interest; management retained the balance
21 February 2022	Opened a 168 bed purpose-built home in Geelong, bringing the portfolio to nine homes and 1,040 beds
31 October 2024	Completed stage one of the refurbishment across three homes; stage two (A$9.5M) remains to be funded

Key milestones

4.3 Sponsor and ownership

Coolwater Capital Pty Ltd is the manager of Coolwater Capital Healthcare Fund II, which holds the 72% interest acquired in April 2019. Management holds the remaining 28%. Since acquisition, the sponsor has funded a staged refurbishment program across the portfolio, and stage one was completed on 31 October 2024. The sponsor's alignment is evidenced by that funding, but Quillwood has not been offered a sponsor guarantee or a committed equity top-up. We propose that all shareholder funding be subordinated and that distributions be locked up (section 8).

4.4 Governance and management

Director	Role
Helena Marchetti	Chair and Non-Executive Director (Coolwater Capital nominee)
Graham Ostrowski	Chief Executive Officer and Executive Director
Priya Venkataraman	Non-Executive Director and Chair of Audit and Risk Committee

Board of directors

The board is small, with one sponsor nominee, one executive and one independent non-executive director chairing the Audit and Risk Committee. Quillwood considers the presence of an independent chair of the Audit and Risk Committee positive. We recommend that the Borrower confirm that the committee will review RAD liquidity, clinical compliance and covenant reporting at each meeting, and that the board notify Quillwood of any change to the Chief Executive Officer or the Chair.

4.5 Advisers and information relied on

Role	Firm	Document and date
Valuer	Harcourt Dunmore Valuers Pty Ltd	Valuation, 14 March 2025
Quantity surveyor	Pellow & Strand Quantity Surveyors Pty Ltd	QS report, 21 March 2025
Auditor	Ashgrove Whitlam Audit Pty Ltd	Financials, 28 February 2025
Financial adviser	Beaumaris Corporate Advisory Pty Ltd	Information memorandum, 10 February 2025
Borrower counsel	Fenwick Lyle Lawyers	Legal due diligence in progress

Advisers and principal source documents

Quillwood has also reviewed management accounts to 11 April 2025 and the term sheet dated 2 May 2025. Lender's counsel is yet to be appointed and will be engaged on approval.

5. Security

5.1 Security package

- First ranking registered mortgages over each of the nine freehold homes.
- General security agreement over all present and after-acquired property of the Borrower, including its rights as approved provider to the extent assignable.
- Guarantee and cross-collateralisation from each subsidiary holding title to a home, where a separate title-holding entity exists. Group structure to be confirmed in legal due diligence.
- Share security over the Borrower and a deed of subordination for any shareholder loans.
- Assignment of insurances, material contracts and the hedging arrangements.

5.2 Valuation

Harcourt Dunmore Valuers Pty Ltd valued the portfolio on 14 March 2025 at an as-is market value of A$158.0M. This equates to about A$151,900 per bed across 1,040 beds. The senior facility of A$95.0M is about A$91,300 per bed and a loan to value ratio of 60.1%. The valuation implies a yield on LTM EBITDA of about 10.4% (A$16.5M over A$158.0M) and a debt yield of about 17.4% on the facility.

A fall in value of 14.1% to A$135.7M would take the loan to value ratio to 70%. We propose a 67.5% undertaking, which triggers a sweep and a valuation review, and a 70.0% event of default level.

5.3 Interaction with the RAD liability

The loan to value ratio above does not take account of the RAD liability. RADs of about A$118.0M are repayable to residents (or their estates) on departure. They represent about 74.7% of the as-is market value. Taking the senior facility and the RAD liability together gives A$213.0M, or 134.8% of the as-is market value. This is a feature of the sector: RADs fund the property and are expected to be refunded from incoming deposits rather than from realisation of the property.

The practical effect is that the real security for Quillwood is the continuing operation of the homes, rather than a sale of the property. The priority of the lender's security relative to resident refund claims, and the operation of the Commonwealth guarantee arrangements for accommodation deposits, must be confirmed in lender's counsel's advice before drawdown. This is a condition precedent. Asset cover in an enforcement would depend heavily on whether a going concern buyer assumed the RAD obligations.

6. Financial analysis

6.1 Summary position

Metric	Value	Comment
Revenue (LTM Dec 2024)	A$108.4M	About A$114,600 per occupied bed
EBITDA (LTM Dec 2024)	A$16.5M	Margin of 15.2%
Senior debt (pro forma)	A$95.0M	Fully drawn
Cash (pro forma)	A$6.0M	Working capital and reserve
Net debt	A$89.0M	Facility less cash
Net debt to EBITDA	5.4x	Gross 5.8x
Interest cover	1.9x	EBITDA over cash interest of about A$8.65M
As-is market value	A$158.0M	LVR 60.1%
RAD liability	A$118.0M	Repayable on departure
Stage two capex	A$9.5M	Funded from facility

Key financial metrics, LTM Dec 2024 and pro forma for the facility

The financial statements dated 28 February 2025 were audited by Ashgrove Whitlam Audit Pty Ltd, and the management accounts to 11 April 2025 were reviewed for consistency with the LTM position. The EBITDA margin of 15.2% is reasonable for an owner-operator at 91% occupancy, with a significant labour cost base of 1,420 FTE. Quillwood has not relied on any forecast uplift from stage two in its base case and treats the LTM Dec 2024 figures as the underwriting case.

6.2 Leverage and coverage

Net debt of A$89.0M against EBITDA of A$16.5M gives 5.4x. This is higher than we would expect for a conventional healthcare operator, though it is moderated by the property backing and the fact that the debt is secured on freehold assets rather than leasehold. Interest cover of 1.9x is calculated on a 9.10% cash rate on a fully drawn facility. Because the capital tranche will be drawn progressively, interest in the first year will be modestly lower than our assumed figure, and the interest reserve will assist during the stage two works.

The cash sweep of 50% of excess cash flow after month 12 is expected to be modest in the first year, given the capital program and the interest burden. The primary deleveraging driver is therefore EBITDA growth, not repayment.

6.3 RAD liquidity

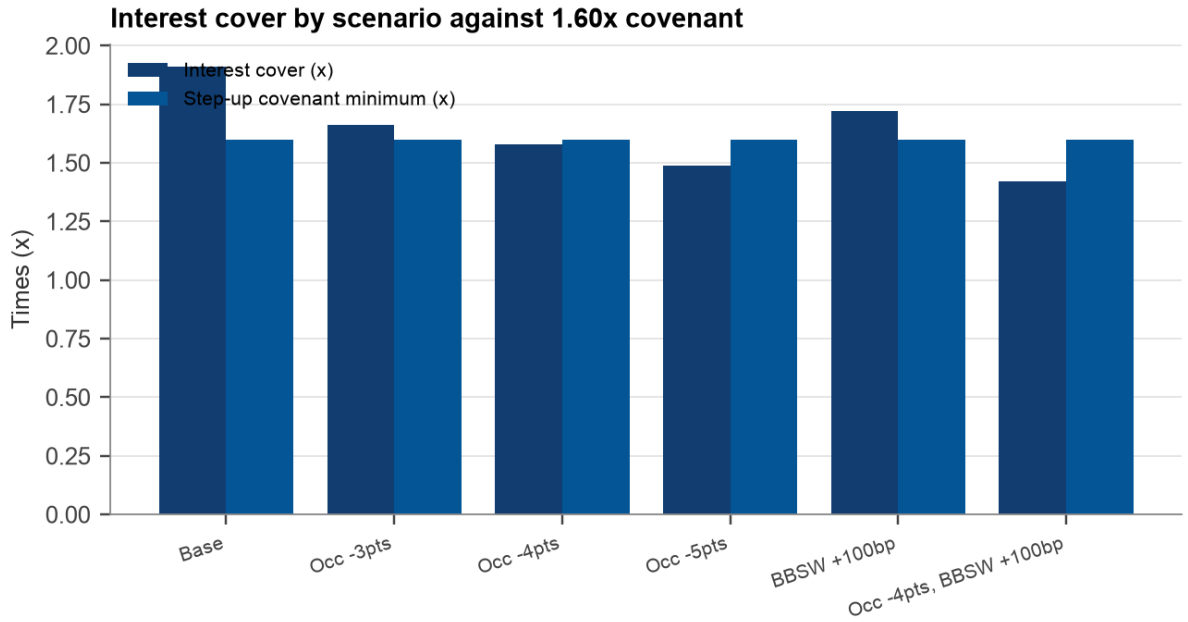
RADs of A$118.0M compare with pro forma cash of A$6.0M, equal to 5.1% of the liability. The group relies on incoming deposits from new residents to refund departing residents. As an illustration only, if the average RAD remains with the provider for about 2.5 years (a Quillwood assumption, not a Borrower figure), then around A$47.2M of RADs would be refunded each year and a similar amount would need to be received. In that illustration, a 10% shortfall in new deposits would require about A$4.7M of liquidity, which approaches the pro forma cash balance of A$6.0M. This is the main reason we require a minimum cash balance, monthly RAD reporting and an undertaking that the Borrower's liquidity management strategy is maintained and tested.

6.4 Sensitivities

Quillwood has tested the base case against a lower occupancy and higher base rate. For occupancy, each percentage point is about 10.4 beds. At average revenue of about A$114,600 per occupied bed, that is about A$1.19M of revenue. We have assumed a 60% flow-through to EBITDA, giving about A$0.72M of EBITDA per percentage point. This flow-through is a Quillwood assumption and should be validated against the Borrower's cost model.

Scenario	EBITDA (A$M)	Interest (A$M)	Interest cover
Base case	16.50	8.65	1.91x
Occupancy down 3 points (88%)	14.35	8.65	1.66x
Occupancy down 4 points (87%)	13.64	8.65	1.58x
Occupancy down 5 points (86%)	12.92	8.65	1.49x
BBSW up 100bp, unhedged	16.50	9.60	1.72x
Occupancy down 4 points and BBSW up 100bp	13.64	9.60	1.42x

Interest cover sensitivity (fully drawn facility, 9.10% base cash rate)



Pro forma interest cover under sensitivities. Source: Quillwood analysis of Borrower LTM Dec 2024 data.

Interest cover would fall to 1.0x only if EBITDA fell by about A$7.85M, equivalent to an occupancy decline of about 11 percentage points, to around 80%. The facility can therefore withstand a significant occupancy event before cash interest is uncovered, but the covenant levels will be reached well before that point. A combined four point fall in occupancy and a 100 basis point rise in unhedged BBSW would take cover to 1.42x. The minimum 50% hedging requirement would reduce the rate impact by about half. We also note that these sensitivities exclude any benefit from stage two of the refurbishment and any change in funding rates under AN-ACC.

6.5 Quality of earnings and outstanding work

The EBITDA figure has not been adjusted by Quillwood for pre-opening costs, one-off agency usage or the effect of stage one disruption. We have asked the Borrower to provide a normalisation schedule reconciled to the audited accounts. We have also asked for a home-by-home profit and occupancy table, which was not included in the information memorandum. Any home with negative EBITDA, or with sanctions imposed by the Aged Care Quality and Safety Commission, would be reviewed individually before the final credit approval is released.

7. Key risks and mitigants

Risk	Mitigant	Residual
Funding and regulatory reform (AN-ACC pricing, new Aged Care Act, means-testing)	Sensitivity analysis; covenant headroom; reporting on funding per occupied bed; sector monitoring	High
Workforce cost and agency reliance (about 4.2% of staff costs; 215 minute target)	Monthly workforce reporting; care minute compliance certificate; interest cover covenant	Medium to high
RAD liquidity and refinance (A$118.0M repayable on departure)	Minimum cash; monthly RAD register; liquidity strategy; distribution lock-up; cash sweep	High
Occupancy (91% leaves limited buffer)	Occupancy reporting; covenants; 50% sweep; interest reserve	Medium to high
Quality and compliance (ACQSC findings or sanctions)	Notification undertaking; home-level compliance certificates; right to appoint reviewer	Medium
Interest rate (floating rate, partial hedging)	Minimum 50% hedged for 24 months; interest cover covenant	Medium

Risk and mitigant summary

7.1 Regulatory and funding reform

Revenue is dominated by Commonwealth funding, which is subject to policy change. The new Aged Care Act, changes to AN-ACC pricing and changes to means-testing may reduce revenue per occupied bed, and commencement timing and detail remain subject to government decisions. Quillwood cannot mitigate this risk through structure alone. The covenant levels have been set with headroom for a moderate revenue reduction, and the Borrower must report funding per occupied bed monthly so that policy effects can be seen early. We have assumed no funding increase in our base case.

7.2 Workforce

Staff costs are the largest cost item, and wage settlements for nurses and care workers are rising. The 215 minute target, including the registered nurse component, requires a continuing investment in staff. Agency labour is about 4.2% of staff costs, which is modest but exposes the group to premium rates if vacancies increase. The Borrower will be required to provide a quarterly care minute compliance certificate and to report agency usage monthly.

7.3 RAD liquidity and refinance

RADs of about A$118.0M are repayable on resident departure. A fall in new deposits (for example from a weaker housing market or lower occupancy) would draw on cash or facility headroom. There is no undrawn revolving facility in this structure after the capital tranche is drawn, so liquidity relies on pro forma cash of A$6.0M and operating cash flow. We therefore propose a minimum cash covenant, monthly reporting of RAD inflows and outflows, and an agreed trigger for a liquidity review if net RAD outflows over three months exceed an agreed threshold. At maturity, the refinance risk is real, as discussed in section 3.4.

7.4 Occupancy, quality and interest rates

At 91.0% occupancy there is limited headroom against the sensitivities above. A sustained fall of three to four percentage points would take interest cover from 1.9x to between 1.66x and 1.58x. Any single home subject to sanctions by the Aged Care Quality and Safety Commission could have admissions restricted, which would directly reduce occupancy at that home and could affect reputation across the group. The Borrower must notify Quillwood within five business days of any sanction, notice to agree or compliance notice. The floating rate facility is exposed to BBSW movements, and a minimum hedging requirement of 50% reduces, but does not remove, that exposure.

8. Proposed covenants and undertakings

Covenant	Level	Test
Net debt to EBITDA	Maximum 6.25x to month 12, 5.75x to month 24, 5.25x thereafter	Quarterly, LTM
Interest cover	Minimum 1.50x to month 12, 1.60x thereafter	Quarterly, LTM
Loan to value ratio	Sweep trigger at 67.5%; default at 70.0%	Annual valuation, or on request
Minimum cash	A$5.0M at all times	Monthly
Care minutes	215 minutes per resident per day, including RN component	Quarterly certificate

Financial covenants

The opening net leverage of 5.4x gives headroom of about 14% in EBITDA against the 6.25x covenant, and the 1.50x interest cover level provides headroom of about 21% (EBITDA could fall to about A$12.97M, an occupancy decline of about 4.9 points on our assumptions). After month 12 the 1.60x level provides headroom of about 16%, equivalent to an occupancy decline of about 3.7 points. This step-up is deliberate, as it is intended to give an early warning and to prompt engagement before liquidity is stressed. The stage two program is expected to be substantially complete by then.

8.1 Other undertakings

- No distributions, management fees to the sponsor or shareholder loan repayments until net leverage is below 5.0x and interest cover is at least 2.0x on two consecutive test dates.
- 50% excess cash flow sweep after month 12 while net leverage exceeds 5.0x.
- Minimum hedging of 50% of drawn debt for at least 24 months, with an approved counterparty.
- Maintenance of approved provider status, the Borrower's liquidity management strategy and compliance with prudential requirements for accommodation deposits.
- No additional financial indebtedness, other than permitted working capital and finance leases up to an agreed basket, and no further security.
- Monthly reporting of occupancy, care minutes, agency usage, RAD inflows and outflows, and cash; quarterly compliance certificates and management accounts within 30 days; audited accounts within 120 days of year end.
- Annual independent valuation of the portfolio by a panel valuer, or earlier on request after an event of default or material adverse change.
- Notification of any ACQSC sanction, the loss of approved status at any home or any change of control. Change of control would be an event of default if Coolwater Capital ceases to hold more than 50%.

9. Conditions precedent and subsequent

9.1 Conditions precedent to first drawdown

- Executed facility agreement, security documents and subordination deed in form satisfactory to Quillwood and lender's counsel, and registration of all mortgages and security interests.
- Legal due diligence report from lender's counsel, including advice on the priority of the lender's security relative to resident refund claims and the Commonwealth guarantee arrangements for accommodation deposits.
- Reliance letters from Harcourt Dunmore Valuers Pty Ltd (valuation dated 14 March 2025) and Pellow & Strand Quantity Surveyors Pty Ltd (report dated 21 March 2025), including confirmation of the A$9.5M budget and contingency.
- Payout letter and discharge of all security held by the existing lender in respect of the A$78.5M of bank debt.
- Evidence of approved provider status and current accreditation for each home, and a certificate that no home is subject to a sanction or restriction on admissions.
- Evidence of the RAD register at close, the Borrower's liquidity management strategy and the most recent prudential compliance statement.

- Normalised EBITDA schedule and home-by-home earnings and occupancy table reconciled to the audited accounts.
- Insurance review by Quillwood's broker, covering property, public liability, professional indemnity and business interruption, with Quillwood noted as mortgagee.
- Funds flow statement showing the use of the A$7.0M allowance for costs, interest reserve and working capital.
- Satisfactory know your customer, beneficial ownership and sanctions checks on the Borrower, Coolwater Capital and Coolwater Capital Healthcare Fund II.
- No material adverse change, event of default or material regulatory action at any home.

9.2 Conditions subsequent

- Hedging for at least 50% of drawn debt executed within 30 days of first drawdown.
- Environmental and building condition reports for any home not covered by the QS report, within 60 days.
- Each drawdown of the capital tranche supported by a certificate from Pellow & Strand Quantity Surveyors Pty Ltd, with monthly progress reporting until practical completion.
- First quarterly compliance certificate and RAD liquidity report within 45 days of the first quarter end following close.
- Appointment of an independent reviewer of clinical governance if any home receives a sanction, at the Borrower's cost.

10. Outstanding items for the Committee

The following matters remain open and will be resolved before drawdown. None changes the analyst's recommendation, but the Committee should be aware that the final approval depends on them.

- Confirmation of the lender's priority position against resident refund claims, as set out in section 5.3.
- A hold decision. The analyst recommends underwriting the full A$95.0M, with discretion for the Chair of the Committee to approve a sell-down if concentration limits require.
- Appointment of lender's counsel and an independent model review.
- Confirmation of the group structure and title-holding entities for the nine homes.

11. Sign-off

The analyst confirms that this paper accurately reflects the information provided by the Borrower and the independent reports listed in section 4.5, and that the recommendation is made in accordance with Quillwood's credit policy. The approvers confirm that the Committee has considered the paper and records its decision below.

Role	Name	Signature and date
Credit Analyst, Healthcare		
Head of Healthcare Credit		
Chief Credit Officer		
Investment Committee Chair		

Analyst and approver sign-off

Decision	Approved / Approved with conditions / Declined
Conditions or variations	To be recorded by the Committee Secretary
Date of decision	

Committee decision record